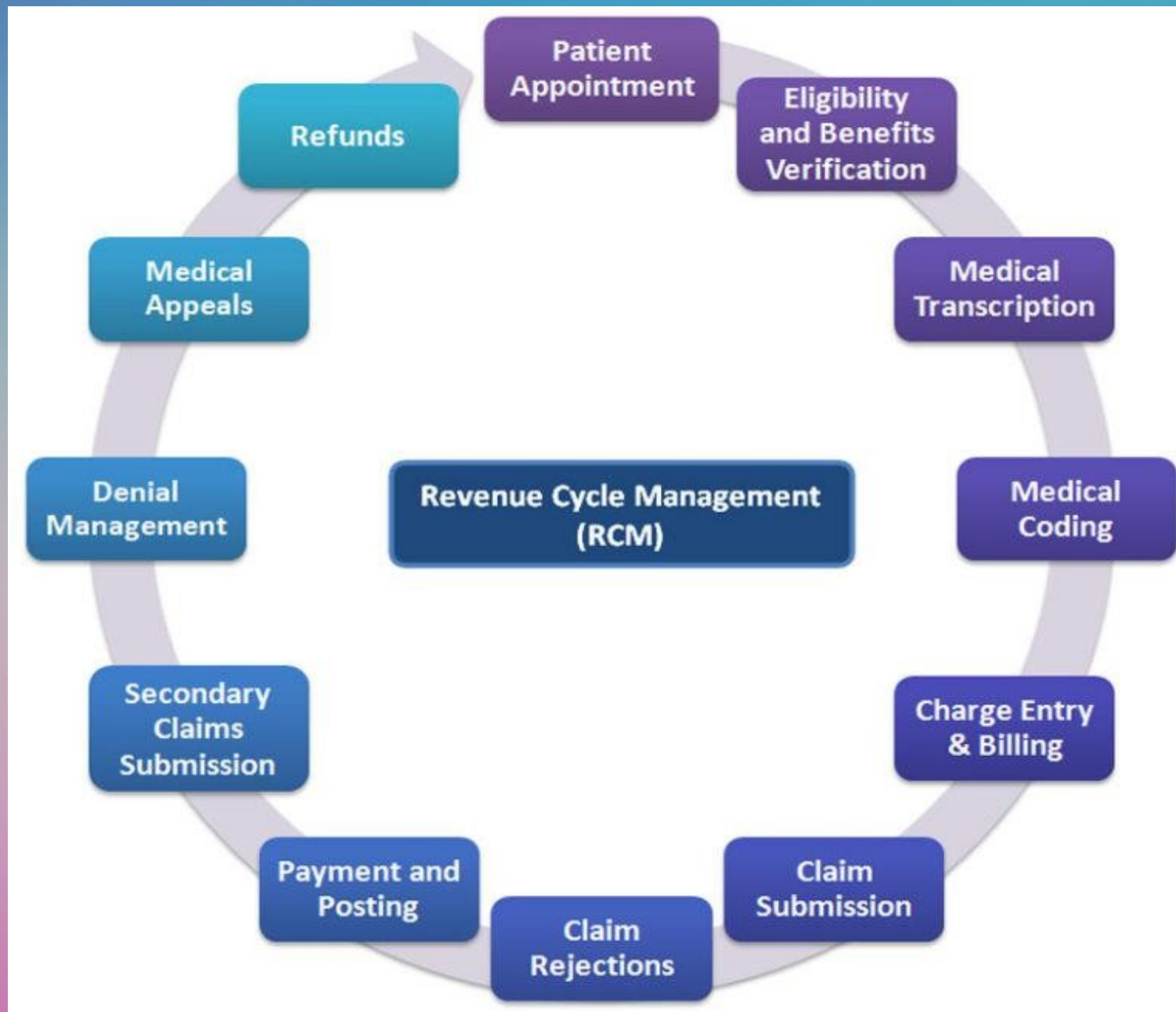


REVENUE CYCLE MANAGEMENT (RCM)

WHAT IS RCM?

In simple terms, RCM refers to the steps that healthcare organizations must take to receive payment for services rendered. Historically viewed as a straightforward back-office function, RCM now touches every aspect of a practice.



▼ STEPS IN RCM

- STEP 1: Pre-Registration
- STEP 2: Encounter
- STEP 3: Medical Transcription
- STEP 4: Medical Coding
- STEP 5: Charge Posting
- STEP 6: Claim Form
- STEP 7: Claims Transmission
- STEP 8: Clearing House
- STEP 9: Insurance Processing
- STEP 10: Payment/Denial Posting
- STEP 11: Account Receivables
- STEP 12: Collections.

▼ PRE REGISTRATION

Revenue Cycle Management (RCM) starts with the patient's appointment. A patient can get a doctor's appointment on call, online or by visiting the provider office/hospital. This appointment can be for the same date or future dates as well. Once a patient sets an appointment, necessary information like patient demographics, insurance information and reason for visit, etc are taken.

▼ ELIGIBILITY AND BENEFITS VERIFICATION

After the patient's appointment, patient eligibility and benefits are checked with patient insurance to verify that the services that patient will get are covered or not by insurance. Other things like patient co-pay, coinsurance, deductible, prior authorization (if required) are also obtained at this time.



ENCOUNTER

After eligibility and benefits verification, the patient gets the services from the doctor at the scheduled time. The services that are given to the patient are recorded on superbill, EMR or in the form of voice, etc.



MEDICAL TRANSCRIPTION

Medical transcriptionists convert recorded services into the medical records. These medical records are very important because it is used to support the services that are performed by the healthcare provider. Insurance companies may also request medical records to check the medical necessity of the services.

▼ MEDICAL CODING

Medical coders review the complete medical records and convert them into codes. This part is very important because to get the payment provider has to send the claim form to insurance that follows specific rules and criteria. On the claim form, patient diagnosis and services provided are mentioned in the form of codes.

It has 3 Types:

- Diagnosis Code which follows the ICD (International Classification of Diseases) coding system

- Procedure Code which follows the CPT (Current Procedural Terminology) and HCPCS (Healthcare Common Procedure Coding System) is used.

- Modifiers are added to the Procedure codes to provide additional information necessary for processing a claim, such as identifying why a doctor or other qualified healthcare professional provided a specific service and procedure.

▼ Charge Entry & Billing

Once all the essential information for filling out the claim is gathered, it's time to enter this data on the claim form or in the billing software. The claim form can be filled by hand or via using the billing software. There are a lot of billing software available in the market with different functionalities.

▼ Claim Form

There are two types of Claim Forms to bill the Insurance. They are

1. CMS 1500 which is used for Physicians Purpose
2. UB -04 Form which is used for Hospital Purpose

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1. MEDICARE ☐ TRICARE ☐ CHAMPVA ☐ GRANDEP ☐ GROUP HEALTH PLAN ☐ FECA ☐ OTHER ☐ 2. PATIENT'S NAME (Last Name, First Name, Middle Initial)										3. INSURED'S ID NUMBER (See Program in Item 10)									
4. PATIENT'S ADDRESS (City, State)										5. INSURED'S NAME (Last Name, First Name, Middle Initial)									
6. PATIENT'S BIRTH DATE (MM/DD/YYYY)										6. INSURED'S ADDRESS (City, State)									
7. PATIENT RELATIONSHIP TO INSURED (Self, Spouse, Child, Other)										7. INSURED'S BIRTH DATE (MM/DD/YYYY)									
8. RESERVED FOR FUTURE USE										8. OTHER GROUP ID (Assigned by NIOS)									
9. IS PATIENT'S CONDITION RELATED TO:										9. INSURANCE PLAN NAME OR PROGRAM NAME									
10. EMPLOYMENT (Current or Previous)										10. IS THERE ANOTHER HEALTH BENEFIT PLAN?									
11. AUTO ADJUDICATE (Yes/No)										11. INSURED'S OR AUTHORIZED INSURED'S SIGNATURE (Signature of insured or authorized representative)									
12. OTHER ADJUDICATE (Yes/No)										12. DATE (MM/DD/YYYY)									
13. CLAIM CODE (Assigned by NIOS)										13. PRIOR AUTHORIZATION NUMBER									
14. DATE OF CURRENT ILLNESS, INJURY, OR PREGNANCY LOSS (MM/DD/YYYY)										14. HOSPITALIZATION DATES (From MM/DD/YYYY to MM/DD/YYYY)									
15. NAME OF REFERRING PHYSICIAN OR OTHER SOURCE										15. DATE OF LAST (Yes/No)									
16. DATE OF CLARIFICATION (Assigned by NIOS)										16. SUPPLEMENTAL CODE									
17. NATURE OF ILLNESS OR INJURY (Describe the below)										17. PRIOR AUTHORIZATION NUMBER									
18. DATE OF SERVICE (MM/DD/YYYY)										18. SERVICE FACILITY LOCATION INFORMATION									
19. PROVIDER, SERVICE, OR SUPPLY (Describe the below)										19. TOTAL CHARGE									
20. DATE OF SERVICE (MM/DD/YYYY)										20. AMOUNT PAID									
21. DATE OF SERVICE (MM/DD/YYYY)										21. BASED FOR FUTURE USE									
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INPATIENT

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Portant ED if different from Sub												1234 Main Street											
Doe, John												Anytown NJ 08999											
03 20 1971 M 11 03 06 06 3 3 12 01												Candidate Codes Required Identifying Events RA RESERVED											
Occurrence and Occurrence Span Codes may be used to define a significant event that may affect payer processing.												FUTURE USE											
John Doe 1234 Main Street Anytown NJ 08999												Net Value Codes and amounts required when necessary to process claim.											
0129 Semi-Private 0290 Pharmacy 0360 DR Services												200.00 2 400.00 0300 Future Use 1 50.00 0300 100.00 0300											
PAGE 1 OF 1												CREATION DATE TOTALS 950.00 CDD											
Amount Health Secondary Payer Tertiary Payer												Report HIPAA National Health Plan Identifier when mandatory Y Y Required when indicated payer has paid amount to Provider Amount extended to be due 22222222 1234567890 Secondary Tertiary											
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02468 Secondary Tertiary												400234 Watch Repair, Inc.											
3600 Use A through Q to report "Other Diagnosis" if applicable												Reserved											
4280 May be used to report reason for visit DSG May be used to report external cause of injury Reserved												22222222 52 1234567892											
3749 11 03 06												Smith David											
May be used to report additional information												Secondary Tertiary											

▼ CLEARING HOUSE

The clearinghouse checks all the claims and sends it to correct insurance with the help of the electronic payer ID. Every insurance has a unique electronic payer ID that is registered with the clearinghouse.

The claims that have wrong or incomplete information on the claim form are rejected by the clearinghouse. A claim can get rejected due to multiple reasons. Medical billing specialists review and fix the claim rejection and resubmit claim to the insurance.

▼ CLAIMS PROCESSING

Once the claim received the Insurance Company from clearing house, the claim was sent to processing the claim will either got paid or got denied due to incorrect information. When the claims get processed, the insurance send the processed details as EOB(Explanation of Benefits) or ERA(Electronic Remittance Advice).

▼ CLAIM TRANSMISSION

After the charge entry, it's time to send the claim form to the insurance company to get paid for the services rendered by the healthcare providers.

Claims can be submitted to insurance in three ways.

1. Paper Claim Submission
2. Electronic Claim Submission
3. Online Claim entry on a secure insurance portal.

Paper claims are submitted through regular or certified mails. The provider or providers office fills out the paper claim form and then submit it to the insurance mailing address.

For electronic claim submission, clearinghouses are used. In electronic claim submission, billing software generates an EDI (electronic data interchange) file that is uploaded on the clearinghouse.

The claims can also be submitted through secure insurance portals. Not all insurances provide this service but most of the insurance does.

▼ PAYMENT/DENIAL POSTING

Once the EOB/ERA Received from the Insurance, the details in the EOB/ERA was entered in the billing software by the Posting Team. The Posting Team enters bot the Payment and Denial Information along with details.

▼ ACCOUNT RECEIVABLES(AR)

Account Receivables are need to Constantly keep track of both electronic and paper claims. Always be watchful for any major rejections or denials from clearing houses/Carriers. Constantly watch out for payments and EOBs from major Carriers, pay-to-Address, Provider Numbers etc. Ensure the AR days meet Industry Standards.

Account Receivables also do Appeals and Refunds while verifying the processed claims.

▼ COLLECTIONS

Medical collection services is the process in which bad debts and overdue medical bills are recovered from present or former patients, the similar processes serve private health professionals and medical institutions.

Initially, Provider send the statement to patient to pay the outstanding amount/Debt. After 3 patient statements, if they don't receive any response from Patient then it was move to Collection Team.

THANK YOU
